WIN TAX ACADEMY / BEGINNER LIBRARY

# WIN at Taxes

## Your visual guide to tax forms, mileage and filing with confidence

**LOOK → ENTER → COMPARE**

A beginner-friendly companion to the four-module WIN Tax Academy. Learn what to look for, where to enter it, and how to check your work.

2026 TAX-YEAR REFERENCE EDITION

Realistic practice. Fictional people. No real returns filed.

**WIN TAX ACADEMY • SKILLS ARE WEALTH.**

Updated October 2026 | Federal tax basics | Educational use only

START HERE

# Your guide at a glance

This eBook is a reference you can open during class or use later. The academy follows Deja Marsh; some pages here use Alex and other fictional examples so you can practice recognizing the same concepts in a different situation.

| PAGES | WHAT YOU WILL LEARN |
|---|---|
| 3–5 | Getting ready • W-2s • Common 1099 forms |
| 6–7 | Filing status • Dependents • Credits |
| 8–11 | 1099 income • Expenses • Mileage • Schedule C |
| 12–15 | 2026 reference • Mock tax software • Review |
| 16–18 | Mistakes to avoid • Practice • Answer key |
| 19 | Glossary • Official IRS links |

### How to use this book

Read the explanation. Look at the sample form or record. Try the practice. Compare your answer with the source. If something does not match, stop and check before moving on.

Important: Tax rules and forms change by year. Use 2026 facts only for a 2026 return, generally filed in 2027. This guide does not replace IRS instructions or individualized tax advice.

01 / GETTING READY

# Gather first. File second.

Before opening tax software, gather the records you will use. A missing form or incorrect filing status can change the result.

| PERSONAL DETAILS | INCOME AND EXPENSE RECORDS |
|---|---|
| Legal name, SSN or ITIN, current address | W-2 forms from every job |
| Filing status and household information | 1099-NEC, 1099-INT and other 1099 forms |
| Dependents: names, IDs, dates of birth | Business receipts, mileage logs and income records |
| Bank details for a refund, if chosen | Prior-year return and estimated payments, if applicable |
| Dates and facts supporting eligibility | Other relevant documents: childcare, education, etc. |

## A simple five-step filing flow

- 1. LOOK at each document and its tax year.
- 2. ENTER the facts into the matching software section.
- 3. COMPARE each entry with the source document.
- 4. REVIEW the complete return, including credits and additional taxes.
- 5. FILE only when everything is supported and correct.

### Keep your records

A tax form is not the whole story. For a side business, also keep records of payments that did not generate a 1099.

02 / W-2

# Meet Alex: read the boxes

Alex works for Oak Street Market. This is a fictional W-2 illustration, not an official tax document.

| W-2 BOX | WHAT IT SAYS | ALEX'S AMOUNT |
|---|---|---|
| 1 | Wages, tips, other compensation | $48,600.00 |
| 2 | Federal income tax withheld | $4,200.00 |
| 3 | Social Security wages | $48,600.00 |
| 4 | Social Security tax withheld | $3,013.20 |
| 5 | Medicare wages and tips | $48,600.00 |
| 6 | Medicare tax withheld | $704.70 |
| 17 | State income tax withheld | $1,350.00 |

## What goes where?

- Box 1 is the wage amount used in the federal wage section.
- Box 2 is federal income tax already withheld.
- Boxes 4 and 6 are payroll taxes, not additional federal income tax withholding.
- Box 17 belongs in the appropriate state-tax workflow.

**Your turn**

Alex's Box 2 is $4,200. If a mock entry screen says $2,400, what should you do? Answer on page 18.

03 / FORMS

# Recognize common tax documents

| DOCUMENT | WHAT IT GENERALLY REPORTS | YOUR FIRST ACTION |
|---|---|---|
| W-2 | Pay and withholding from employment | Check Boxes 1, 2 and 17 |
| 1099-NEC | Certain payments for services outside employment | Check Box 1 and business records |
| 1099-INT | Interest income | Check interest amount |
| 1099-DIV | Dividends and distributions from investments | Read each labeled box |
| 1099-K | Certain payments processed by payment networks | Reconcile with actual business records |
| 1099-R | Retirement distributions | Check the gross and taxable amounts |

Important: A 1099 is an information document, not a complete tax return. The same transaction can appear in multiple records, so reconcile records rather than blindly adding everything twice.

**No 1099? Still check.**

Taxable income may still need to be reported even when no information form arrives. For 2026, the general Form 1099-NEC reporting threshold for certain business service payments is $2,000, with exceptions. That is a payer reporting rule, not a tax-free allowance.

For the correct form and tax year, use IRS forms and instructions.

04 / HOUSEHOLD

# Filing status is based on facts

You cannot choose a filing status just because it produces a larger refund. Answer the household questions first.

| STATUS | BASIC STARTING POINT |
|---|---|
| Single | Generally unmarried and not eligible for another status. |
| Married filing jointly | Eligible spouses report their information together. |
| Married filing separately | Eligible spouses file separate returns. |
| Head of household | Generally unmarried or considered unmarried, pays more than half the cost of keeping up a home, and has a qualifying person under the rules. |
| Qualifying surviving spouse | Special rules may apply after a spouse dies. |

## A child does not automatically mean Head of Household

Consider Morgan, an unmarried parent whose child lived with them all year. Morgan also paid more than half the cost of maintaining the home. Those facts support further review, but the full qualifying-person and other rules must still be checked.

### Ask these questions

Were you married at year-end? Who lived in the home, and for how long? Who paid the household costs? Could another person claim the child?

05 / HOUSEHOLD

# Dependents and credits

For a qualifying child, start with relationship, age, residency, and support. Other rules also apply, including joint-return, citizenship/residency, and competing-claim rules.

| CHECK | SIMPLE QUESTION |
|---|---|
| Relationship | Is this a child or other qualifying relative under the rule? |
| Age | Does the child meet the applicable age or student/disability test? |
| Residency | Did the child generally live with the taxpayer more than half the year? |
| Support | Did the child avoid providing more than half of their own support? |

Newborn note: A child born during the year may satisfy the residency test if the child lived with the taxpayer for more than half the time the child was alive, subject to the applicable rules.

## Credits are not automatic

For 2026, the Child Tax Credit may be worth up to $2,200 per qualifying child. Eligibility, income, identification-number and other rules matter. Earned Income Tax Credit eligibility must also be checked separately.

### Separate decisions

Claiming a dependent, using Head of Household status, and qualifying for a tax credit are three different questions. Do not assume one answer settles the others.

06 / SIDE INCOME

# Your 1099-NEC is a starting point

Deja Marsh works a regular job and sells custom cakes on the side. Her cake income is generally reported as business income, not as W-2 wages.

| DEJA'S RECORD | AMOUNT |
|---|---|
| 1099-NEC, Box 1 — cake orders | $4,200.00 |
| Additional unreported cash receipts in this exercise | $0.00 |
| Total business receipts for this example | $4,200.00 |

## Follow the business-income path

- Check the 1099-NEC against your own payment records.
- Add other reportable business receipts that are not already included.
- Separate eligible business expenses from personal spending.
- Report the business on Schedule C when appropriate.
- Review net profit and any additional taxes the software calculates.

### Avoid double-counting

If an amount is already included in the 1099-NEC total, do not add it a second time simply because it also appears in a payment-app record.

07 / SIDE INCOME

# What counts as a business expense?

A business expense is generally deductible when it is ordinary and necessary for the business, subject to tax rules. Keep records of what you bought, when, how much it cost and its business purpose.

| ITEM | TREATMENT IN A SIMPLE CAKE BUSINESS |
|---|---|
| Cake ingredients and packaging | Generally business supplies when used for customer orders. |
| Advertising for cake orders | Generally a business expense. |
| Business miles for qualifying trips | May qualify for the standard mileage method. |
| Family groceries | Personal; not a cake-business expense. |
| Mixed-use phone bill | Only eligible business portion, with support; do not guess. |

## The simple net-profit idea

Business receipts − eligible business expenses = net profit. That profit generally flows from Schedule C into the individual tax return and may be subject to income tax and self-employment tax.

### Receipts are not the only record

Keep receipts and reliable supporting records, such as invoices, bank statements and a contemporaneous mileage log. Documentation must support the claimed expense.

08 / MILEAGE

# Deja’s 2026 mileage example

Deja used her own car for qualifying cake-business trips and kept a mileage log. Her records show 200 business miles before July 1 and 110 business miles on or after July 1, 2026.

| WHEN | BUSINESS MILES | 2026 IRS RATE | DEDUCTION |
|---|---|---|---|
| Jan 1–Jun 30 | 200 | 72.5¢ per mile | $145.00 |
| Jul 1–Dec 31 | 110 | 76¢ per mile | $83.60 |
| TOTAL | 310 | Two date-based rates | $228.60 |

## Now find net profit

| STEP | AMOUNT |
|---|---|
| Business receipts | $4,200.00 |
| Less cake supplies | − $600.00 |
| Less standard business mileage | − $228.60 |
| Illustrative net profit | $3,371.40 |

### Important mileage rules

Count qualifying business trips, not ordinary commuting or personal errands. Record the date, destination, business purpose and miles. Eligibility and method-choice rules apply. Do not also deduct gasoline, maintenance or vehicle depreciation separately for the same miles when using the standard mileage method.

IRS 2026 business mileage rates: 72.5¢ (Jan–Jun) and 76¢ (Jul–Dec). See source links on page 19.

09 / SIDE INCOME

# Schedule C and self-employment tax

Schedule C is where many sole proprietors report business receipts and expenses. A 1099-NEC does not automatically become taxable profit: expenses and other facts matter.

| FLOW | WHAT HAPPENS |
|---|---|
| 1. Receipts | Deja records $4,200 in cake-business receipts. |
| 2. Expenses | Eligible supplies and standard business mileage total $828.60. |
| 3. Schedule C | Illustrative net profit is $3,371.40, before tax-form rounding. |
| 4. Form 1040 | Business profit is included through the applicable schedules. |
| 5. Other tax checks | Software evaluates self-employment tax, adjustments and credits. |

## What is self-employment tax?

It generally covers Social Security and Medicare taxes on self-employment earnings. A common general rule is that Schedule SE may be required when net earnings from self-employment are $400 or more, with exceptions and special rules.

You do not need to memorize the formula for this beginner course. Correctly enter the business facts and review the calculated result.

### Not the same as withholding

W-2 Box 2 is federal income tax withheld. Self-employment tax is a separate calculation. A refund or balance due depends on the full return, not just the W-2 or the 1099.

10 / REFERENCE

# 2026 numbers worth recognizing

These figures are a tax-year reference, not amounts to memorize. They may change in future years. They also do not determine anyone’s tax result by themselves.

| 2026 FEDERAL ITEM | AMOUNT / RULE |
|---|---|
| Standard deduction — Single | $16,100 |
| Standard deduction — Married filing jointly | $32,200 |
| Standard deduction — Head of household | $24,150 |
| Child Tax Credit maximum | Up to $2,200 per qualifying child; eligibility applies |
| 1099-NEC reporting threshold | Generally $2,000 for certain 2026 business service payments; exceptions apply |
| Business mileage — Jan 1–Jun 30 | 72.5¢ per qualifying business mile |
| Business mileage — Jul 1–Dec 31 | 76¢ per qualifying business mile |

## Deductions versus credits

Deduction: generally reduces income used in the tax calculation. Credit: may reduce tax or, if refundable and eligible, increase payments/refund. Neither is automatically available to everyone.

### Why no tax-bracket math here?

Your tax software uses the applicable tax tables, rates and other rules. Your first job is to provide accurate information and review the result, not guess a refund.

11 / PRACTICE SCREEN

# Mock tax software: enter a W-2

This is a WIN practice screen, not a live tax-filing program. Imagine you are entering Alex’s W-2.

| WIN PRACTICE / W-2 ENTRY | VALUE FROM ALEX’S FORM |
|---|---|
| Tax year | 2026 |
| Employee name | Alex Rivera |
| W-2 Box 1 — Wages | $48,600.00 |
| W-2 Box 2 — Federal withholding | $4,200.00 |
| W-2 Box 17 — State withholding | $1,350.00 |

## LOOK → ENTER → COMPARE

- LOOK: Read the box number and label on the original W-2.
- ENTER: Type that exact number into the matching field.
- COMPARE: Review the entry against the original W-2.

**Try it**

The software shows $42,000 in Box 1. The W-2 shows $48,600. Which number should remain after your review?

12 / PRACTICE SCREEN

# Mock software: enter Deja’s business

The tax software may ask for income and expenses in separate sections. The labels differ by provider; the principle stays the same.

| WIN PRACTICE / BUSINESS SECTION | ENTRY |
|---|---|
| Business type | Custom cakes |
| 1099-NEC / business receipts | $4,200.00 |
| Supplies expense | $600.00 |
| Qualifying business miles Jan–Jun | 200 miles |
| Qualifying business miles Jul–Dec | 110 miles |
| Mileage deduction calculated from records | $228.60 |
| Illustrative net profit | $3,371.40 |

Some programs ask for miles and calculate the deduction; others may show the calculated deduction during review. Follow the software’s actual prompts. Do not enter both mileage and a duplicate expense deduction.

### Check before continuing

Does the business income agree with the 1099 and other receipts? Are the supplies business-related? Does the mileage log support the business miles? Are the date-based rates correct?

13 / REVIEW SCREEN

# Read the tax summary without guessing

A mock tax summary should help students identify the pieces of a return, not promise a refund. Deja's real tax outcome would require additional facts and full calculations.

| SUMMARY LINE | WHAT TO CHECK |
|---|---|
| Wages | Match W-2 Box 1. |
| Business profit | Match Schedule C after eligible expenses. |
| Filing status | Confirm the complete eligibility rules. |
| Dependents | Confirm names, identifying numbers and eligibility. |
| Deductions and credits | Review the software's questions and supporting records. |
| Income tax and self-employment tax | Review the computed amounts; do not calculate by guesswork. |
| Payments / withholding | Match W-2 Box 2 and other supported payments. |
| Refund or amount owed | Review only after all information has been entered. |

### The final habit

LOOK at the document. ENTER the facts. COMPARE the result. If something does not make sense, stop and check instead of changing numbers to force a desired refund.

14 / ACCURACY

# Eight mistakes to avoid

- 1. Filing with a missing W-2, 1099 or other income record.
- 2. Typing W-2 Box 4 or Box 6 as federal income tax withholding.
- 3. Claiming Head of Household only because you have a child.
- 4. Assuming a credit applies without checking the rules.
- 5. Leaving off business receipts because no 1099 was issued.
- 6. Treating personal expenses as business expenses.
- 7. Counting commuting or personal driving as business mileage.
- 8. Filing without comparing the completed return to your records.

## If the return is rejected or something is wrong

Read the error or rejection message. Compare it with the source documents. Correct the supported error. Depending on whether the return was rejected or already accepted, the next step may be retransmission or an amended return.

### Before you click File

Confirm identity, filing status, dependents, income, expenses, credits, bank details and signatures. Keep a copy of the filed return and supporting records.

15 / PRACTICE

# Your turn: eight quick checks

Try these without looking at the answer key. All facts are fictional and intended for practice.

1. Alex’s W-2 Box 1 says $48,600. Which amount belongs in the wages entry?

2. Alex’s W-2 Box 2 says $4,200. Is that federal withholding or Social Security withholding?

3. Morgan has a child. Does that fact alone establish Head of Household eligibility?

4. Deja receives a 1099-NEC for $4,200. She also received $100 in separate business cash payments not included in that form. What is her total business income?

5. Deja drove 200 qualifying business miles in March 2026. At 72.5¢ per mile, what is the deduction?

6. Deja drove 110 qualifying business miles in August 2026. At 76¢ per mile, what is the deduction?

7. Using the original Deja example with $4,200 income, $600 supplies and $228.60 mileage, what is the net profit?

8. The software shows a refund you did not expect. Should you change entries until it looks right, or compare each entry with the documents?

**Remember**

For Questions 5 and 6, use the 2026 rates only. Do not carry those figures into another tax year without checking.

16 / PRACTICE

# Answer key and explanation

| # | ANSWER | WHY |
|---|---|---|
| 1 | $48,600 | It comes from W-2 Box 1. |
| 2 | Federal income tax withheld | Box 2 is federal withholding; Box 4 is Social Security tax. |
| 3 | No | Other household and qualifying-person requirements apply. |
| 4 | $4,300 | Add separate business receipts not already included. |
| 5 | $145.00 | 200 × $0.725 = $145.00. |
| 6 | $83.60 | 110 × $0.76 = $83.60. |
| 7 | $3,371.40 | $4,200 − $600 − $228.60. |
| 8 | Compare, never guess | Review source documents and software questions. |

## You are building a skill

The goal is not to memorize every number. It is to recognize the document, identify the right field, enter supported information and catch errors before filing.

### Next step

Return to WIN Tax Academy and use the same habit in Deja's full-year practice activity. This eBook is a reference, not a substitute for completing the software interview.

17 / RESOURCES

# Keep learning with the source

Use official IRS resources for the year of the return. The links below are clickable in this PDF.

| TOPIC | OFFICIAL REFERENCE |
|---|---|
| Standard mileage rates | irs.gov/tax-professionals/standard-mileage-rates |
| 2026 tax changes / standard deductions | IRS: Working Families Tax Cuts |
| Dependent and filing-status rules | irs.gov/publications/p501 |
| Child Tax Credit | IRS: Child Tax Credit |
| Schedule C | irs.gov/instructions/i1040sc |
| Self-employment tax | irs.gov/taxtopics/tc554 |
| Form 1099 reporting | IRS: Am I required to file a Form 1099? |

## Mini glossary

W-2: Employee wage and withholding statement. 1099-NEC: Information return for certain nonemployee payments. Schedule C: Profit or loss from a business. PTIN: Preparer Tax Identification Number, not a professional license. Withholding: Tax taken out of pay. Net profit: Business receipts less eligible business expenses.

### A note about the examples

This guide teaches basic self-preparation. It does not qualify a student to prepare tax returns for pay, issue a PTIN, or guarantee a tax result. Examples are fictional and not for filing.

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